



LEGATION OF THE REPUBLIC OF KOREA
MANILA, PHILIPPINES

Report No. 87

June 29, 1956

Dear Mr. President:

The highlight of the tenth anniversary of the Philippines will be marked by five day celebrations beginning June 30 to July 4, each day stressing significant of progress in the Philippine national life. June 30, national solidarity; July 1, Philippine economic development; July 2, rural development; July 3, progress of education and July 4 - elaborate ceremonies at which U.S. Vice President Richard Nixon, representing President Eisenhower will deliver a speech following President Magsaysay's principal speech.

The Nixon's party will arrive here on July 3 and leave for the States on July 6. During his three day state visit, he will be honored by a state banquet by President Magsaysay and another one by American Charge d'affaires Charles Burrows in return for the courtesy of the Philippine President. Much significance is attached to the state visit to the Philippines by U.S. Veep who is expected to restore the PI-US relations now deteriorating as a result of the 99 year lease term of U.S. military bases dispute. The Philippines, as a staunch ally is bewildered by conflicting statements by President Eisenhower and State Secretary Dulles on the interpretation of neutralism championed by Nehru and neighbor countries. The public press wants Vice President Nixon clarify President Eisenhower's attitude towards neutralism.

Former President Sergio Osmena warned the Philippine Congress against any rational discussion on the term of lease of military bases in the Philippines. The revision of PI-US base agreement calls for a cut to 10-20 years. However, President Magsaysay favors any move to expand the U.S. military bases in the Philippines that will bolster his country's security, provided fundamental issues such as ownership, delimitation, sovereignty, jurisdiction and application of Philippines tax laws in the bases are satisfactorily settled.

Vice President Carlos P. Garcia favors continued emphasis on collective defense rather than on economic cooperation in the SEATO setup. New Zealand Premier Sydney Holland suggested the shift of military alliance to economic cooperation to promote economic development of under developed countries. The Philippines is not fully satisfied with the way the SEATO member countries deviate from the original idea of building up defense systems.



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Thailand turned over to the SEATO a building in Bangkok to house SEATO's secretariat, international staff in public relations, military security, economic and cultural offices as well as the permanent working group.

Congress finally enacted general appropriation bill P629,208,816 for the fiscal year starting July 1. This year's budget carries an increase of P16 million pesos over the current fiscal year budget. A public works bill P246 millions contains a prok barrel fund (community project for members of congress) of P38 million, of which P21 were earmarked for congressmen and P18 million for senators.

Despite determined opposition from Senators Lorenzo Tanada and Clara M. Recto, the ratification of both the Japanese peace treaty and the reparations agreement are considered a sure thing at the special session of congress.

The regular session passed 231 bills of which 187 bills were signed by President Magsaysay and 42 bills were voted without explanation by the Chief Executive. Gripping legislators, bitterly critical of the President's lack of propriety threatened to adjourn the session after approving the national budget only. Under the Constitution, Congress can override the President's vote on any ordinary bill by two-thirds of votes of all members, and by three-fourths votes on measures referring to appropriation or increase in public debt.

Faithfully yours,

Young Kee Kim
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His Excellency Syngman Rhee
President of the Republic of Korea
Seoul, Korea.

Copy to Acting Foreign Minister